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Italy: Banca Monte dei Paschi di Siena Capital Injection, 2017¹

Benjamin Hoffner²

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Abstract

The 2017 recapitalization of Italy's third-largest bank, Banca Monte dei Paschi di Siena (MPS), the oldest bank in the world, represents an unusual precautionary, "open bank" recapitalization under the European Union's Bank Recovery and Resolution Directive (BRRD) rules. In 2015, the bank held the largest portfolio of nonperforming loans (NPLs) in Italy (with 34.8% of its total loans), and in 2016 it was the only bank to fail the European Banking Authority's adverse scenario stress test, although its reported total capital ratio at the end of the year was 10.4%. To address its NPL problem, MPS agreed with the European Central Bank to sell off its NPLs, supported by a plan to raise EUR 5 billion (USD 5.2 billion) in private capital by the end of 2016 and convert junior bonds held by institutional investors into equity. However, in December 2016, the capital raise fell through following political turmoil from Italy's failed constitution referendum. On December 23, the Italian government announced the precautionary recapitalization of MPS by the state under a newly approved law decree, funded by EUR 20 billion through Italy's Ministry of Economy and Finance (MEF). By the end of December, the European Commission (EC) approved liquidity assistance of up to EUR 15 billion while the MEF worked with the bank to develop a restructuring and recapitalization plan, which would involve the conversion of subordinated creditors into equity holders. The EC approved the final recapitalization plan in July 2017, totaling EUR 8.1 billion. The recapitalization plan, implemented in August, involved the conversion of all EUR 4.3 billion subordinated debt into new ordinary shares, giving former subordinated debt holders a 45.4% stake in the bank, and the MEF's subscription of EUR 3.9 billion in new ordinary shares, representing a 52.2% stake. However, the MEF invested an additional EUR 1.5 billion in MPS to acquire the converted shares from retail subordinated bond holders who the government determined had been victims of mis-selling, increasing the MEF's stake to 68.3%. MEF planned to sell its stake by the end of 2021. Owing to lack of market interest, the MEF received approval from the EC for an extension to sell off the shares for an undefined, multi-year period. In November 2023, the MEF sold 25% of its stake in MPS for EUR 920 million, reducing the MEF's stake to 39.2%.

Keywords: Banca Monte dei Paschi di Siena, Italy, precautionary recapitalization

¹ This case study is part of a Yale Program on Financial Stability (YPFS) selection of New Bagehot Project modules considering ad hoc capital injections. A survey of all the cases in this series (Rhee, Hoffner, et al. 2024) and the individual cases underlying it are available from the *Journal of Financial Crises* at <https://elischolar.library.yale.edu/journal-of-financial-crises/vol6/iss3/>. Rhee, Oguri, et al. (2022) surveys broad-based capital injection programs.

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Overview

This case study describes the capital injection in Banca Monte dei Paschi di Siena (MPS).

In 2008, MPS—established in 1472, the oldest bank in the world—acquired Santander’s subsidiary Antonveneta, marking the beginning of MPS’s financial difficulties (Menasci 2018). By 2009, as a result of the troublesome acquisition and effects of the Global Financial Crisis (GFC), MPS’s Tier 1 capital ratio fell from 6.1% to 4.1% of risk-weighted assets. To improve its capital, MPS participated in Italy’s GFC-era broad-based capital injection program by issuing EUR 1.9 billion convertible subordinated “Tremonti” bonds, which counted as Tier 1 capital, to the Ministry of Economy and Finance (MEF). The program helped strengthen MPS’s Tier 1 capital ratios, which were 7.5% in 2009 and 8.4% in 2010 (Menasci 2018).

In 2011, MPS recognized large losses from the Antonveneta acquisition and in June 2012 notified the Bank of Italy that it would not meet regulatory capital requirements. Subsequently, MPS requested a capital injection of EUR 3.4 billion, of which EUR 1.9 billion would replace the maturing Tremonti bonds, with the remaining EUR 1.5 billion to make up the capital shortfall (Italian Senate Finance Commission 2017; Menasci 2018).³ The European Commission (EC) approved the State Aid proposal in December 2012, contingent on MPS restructuring, and on February 2, 2013, the MEF purchased EUR 4.1 billion of newly issued subordinated “Monti” bonds, which counted as Tier 1 capital (Menasci 2018). In June 2014, as part

Key Terms

Purpose: To ensure compliance with capital requirements, protect savers and employees, and preserve stability in the Italian economy.

Announcement Date	December 23, 2016
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Operational Date	August 11, 2017
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Date of Final Capital Injection	August 11, 2017
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End Date	Substantial portion of shares have yet to be divested.
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Source of Funding	Italian treasury
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Administrators	Italy’s Ministry of Economy and Finance
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Size	EUR 3.9 billion invested in new shares. The government also paid EUR 1.5 billion to retail bond investors who were victims of mis-selling.
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Capital Characteristics	Ordinary shares
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Bail-in Terms	All subordinated creditors were converted into equity, raising EUR 4.3 billion, or EUR 2.9 billion net after the government bought out retail investors; existing shareholders were substantially diluted
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Notable Features	Unusual precautionary, open-bank recapitalization under BRRD rules; conversion of sub debt into equity, with protection for retail investors
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³ MPS said the reason for replacing the Tremonti bonds with new instruments was in anticipation of more stringent capital requirements under Basel III and to strengthen the bank’s capital base in light of a new restructuring plan (Italian Senate Finance Commission 2017).

of an additional EUR 5 billion capital raise, MPS redeemed its Monti bonds and paid the remaining interest by issuing stock, providing the MEF with a 4% stake (Donnelly and Pometto 2024; Menasci 2018).

In 2015, MPS reported the highest nonperforming loan (NPL) ratio (NPLs to total loans) in Italy at 34.8% (EUR 46.9 billion NPLs). In July 2016 the European Banking Authority (EBA) published results of its EU-wide stress tests wherein MPS was the only one of the 51 surveyed banks to fail the adverse scenario (at -2.2% Common Equity Tier 1 [CET1]) (EBA 2016; Franco 2022). On November 11, 2016, MPS's shareholders approved a private recapitalization plan, which would see the conversion of subordinated bonds held by institutional investors into shares through a liability management exercise and receive additional capital through an anchor investment from the Qatar Investment Authority (QIA) (Menasci 2018; Philippon and Salord 2017). On November 23, 2016, the ECB approved MPS's new restructuring plan, which included the disposal of EUR 27.7 billion of bad debts supplemented by the EUR 5 billion private recapitalization by outside investors (BMPS 2017; Menasci 2018).

However, on December 22, 2016, MPS announced that the private recapitalization plan failed, after the QIA pulled out in the wake of Italy's failed constitutional referendum⁴ (CONSOB 2017; Menasci 2018). Subordinated debt holders had agreed to swap EUR 2.5 billion of debt into equity, but those transactions were reversed when the sale of shares failed. On December 23, the Italian Companies and Exchange Commission (CONSOB) suspended MPS's shares (which had fallen 87.8% since the start of the year) from trading on the stock market given the uncertainty and lack of sufficient information to make informed investment decisions (BMPS 2017; CONSOB 2017).

On December 23, 2016, the day after MPS announced that the private recapitalization had failed, Italy's prime minister announced the rescue of MPS (Treanor and Kirchaessner 2016). The rescue would come under a new law decree the Italian government approved the same day, providing for state recapitalizations and liquidity guarantees for up to EUR 20 billion in funding from Italy's Ministry of Economy and Finance (EC 2017c). Through the decree framework, MPS requested liquidity assistance and a precautionary recapitalization. The EC quickly approved up to EUR 15 billion in emergency liquidity assistance on December 29, 2016, conditional upon Italy submitting a restructuring plan for MPS within two months of the implementation of the guarantees. Italy submitted an initial draft of the restructuring plan in February 2017 before submitting a finalized restructuring plan, necessary for the recapitalization, on June 28, 2017 (EC 2017c).

On June 28, 2017, Italy also notified the EC of the details of the precautionary recapitalization plan. The EC approved the restructuring plan and recapitalization on July 4, 2017 (BMPS 2018; EC 2017c; Mesnard, Magnus, and Margerit 2017b). On August 1, 2017, MPS converted all existing EUR 4.5 billion subordinated bonds into new shares and on August 11, the MEF

⁴ Prime Minister Matteo Renzi backed a constitutional referendum, which aimed to shift the balance of power towards Italy's central government and away from the Senate. On December 4, 2016, the referendum failed and Renzi resigned (BBC 2016; Povoledo 2016).

subscribed EUR 3.9 billion in new shares, increasing its stake in MPS to 52.2%. MPS announced in November 2017 that it had acquired a portion of the converted shares for EUR 1.5 billion, funded by the MEF, from eligible retail investors who the government had determined were victims of mis-selling. MPS paid these retail investors in more senior debt instruments. By the end of 2017, the MEF held a 68.2% stake in MPS (BMPS 2018).

The MEF agreed with the EC to sell its stake in MPS by December 31, 2021 (Goff 2021). In July 2022, after negotiations to sell MPS to UniCredit⁵ fell through, the MEF requested an extension to the sell-off deadline. In August 2022, the EC approved the extension for an undefined multiyear period (EC 2022a; Za and Fonte 2022). As part of the extension, the MEF agreed that MPS would make additional divestments and job cuts to increase profitability (Za and Fonte 2022).

In November 2023, the MEF sold 25% of its stake in MPS for EUR 920 million, reducing the MEF's stake from 64.2% to 39.2% (MEF 2023).

Figure 1: Timeline of Important Events for Banca Monte dei Paschi di Siena

Date	Event
Dec. 31, 2009	The MEF injects EUR 1.9 billion in Tier 1 capital into MPS through the Tremonti bond program.
Feb. 2, 2013	The MEF purchases EUR 4.1 billion of newly issued Monti bonds from MPS to augment Tier 1 capital.
June 2016	The EBA publishes results of EU-wide stress tests with MPS as the only bank of 51 surveyed failing the adverse scenario, at -2.2% CET1.
Nov. 23, 2016	The ECB approves MPS's new restructuring plan, which includes the disposal of EUR 27.7 billion of bad debts supplemented by a EUR 5 billion private recapitalization, including conversion of subordinated debt into equity through a liability management exercise and investment by outside investors.
Dec. 4, 2016	A constitutional referendum backed by Prime Minister Renzi fails and Renzi resigns.
Dec. 22, 2016	MPS announces the failure of the EUR 5 billion private recapitalization.
Dec. 23, 2016	- The CONSOB suspends trading of MPS's shares on the Italian stock market. - Italy's prime minister announces the rescue of MPS under a new law decree, which provides for state recapitalizations and liquidity guarantees for up to EUR 20 billion in funding from Italy's Ministry of Economy and Finance
July 4, 2017	The EC approves the MEF's restructuring and recapitalization plan for MPS.
Aug. 1, 2017	MPS converts all EUR 4.5 billion subordinated bonds into new equity shares.
Aug. 11, 2017	The MEF subscribes EUR 3.9 billion in new MPS common shares.
Nov. 2017	MPS repurchases a portion of converted shares from eligible retail investors who were victims of mis-selling, paying with new senior MPS debt; the MEF then purchases those shares for EUR 1.5 billion in cash, bringing its stake in the bank to 68.3%.

⁵ At the time, UniCredit was Italy's only Global Systemically Important Institution (G-SII) (ECB 2022).

Nov. 2023	The MEF sells 25% of its stake in MPS for EUR 920 million, reducing the MEF's stake from 64.2% to 39.2%.
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Source: Author's analysis.

Summary Evaluation

The bailout of MPS drew controversy among policy researchers regarding the heavy reliance on public funds in the precautionary recapitalization. Researchers at the Sustainable Architecture for Finance in Europe (SAFE), a think tank, express concern that the recapitalization in 2017 appeared to undermine the spirit of BRRD rules, which emphasize heavy private sector involvement in the recapitalization so as to ensure market discipline in the banking sector (Götz, Krahnen, and Tröger 2017). Having already benefited from public recapitalizations in the past, MPS failed to raise private capital in 2016 to meet the ECB's capital requirements. The EC's approval of the precautionary recapitalization in 2017 constituted an exception to the private sector involvement, which the EC agreed was justified for the sake of preserving financial sector stability in Italy (Götz, Krahnen, and Tröger 2017).

Nicolas Véron, a think tank analyst, argues that the first three precautionary recapitalizations under BRRD—those of MPS and two Greek banks—were “broadly in line with the intent of the co-legislators and the conditions set out in the BRRD,” including the use of stress tests or other exercises to identify capital gaps (Véron 2017, 8). On the other hand, some critics argue that MPS did not meet BRRD rules, which allow for precautionary recapitalizations using public funds only in cases where a bank is not failing or likely to fail. Véron concedes that “the proposition that MPS was not failing or likely to fail before it received precautionary recapitalisation, and met the other conditions as well, appears open to debate, but not altogether implausible” (Véron 2017, 8).

In a later paper, academic Andrea Miglioni, expresses similar concerns over MPS's public recapitalization, stating that the “recourse to public financial assistance increased the reliance to aids and undermined the credibility of the BRRD rules” (Miglioni 2019). Miglioni argues that MPS should not have been eligible for public recapitalization based on failing to meet long-term viability criteria under the BRRD and SRM rules. Further, Miglioni draws attention to a key problem of MPS's rescue: retail investors holding subordinated debt, that should otherwise be subject to bail-in, under the BRRD principle of burden-sharing (Miglioni 2019). Philippon and Salord (2017) also emphasizes the complications of applying bail-in measures for MPS and other Italian banks given the exposure of retail investors. During the GFC, MPS was one of several Italian banks that sold junior bonds to retail investors to access cheap funding. Given the expected move towards bail-in, formalized under BRRD, Philippon and Salord argues that such resolution issues demonstrated a failure by Italian regulators in allowing banks to issue bail-in-able debt to retail investors (Philippon and Salord 2017).

Context: Italy, Banca Monte dei Paschi di Siena, 2016–2017	
Assets	EUR 153.2 billion as of Dec. 31, 2016 EUR 139.2 billion as of Dec. 31, 2017
Liabilities	EUR 146.7 billion as of Dec. 31, 2016 EUR 128.7 billion as of Dec. 31, 2017
Deposits	EUR 112.2 billion as of Dec. 31, 2016 EUR 98.1 billion as of Dec. 31, 2017
Capital Ratio (Tier 1)	8.2% as of Dec. 31, 2016 14.8% as of Dec. 31, 2017
Nonperforming Loans	EUR 20.3 billion as of Dec. 31, 2016 EUR 10.4 billion as of Dec. 31, 2017
Market Share	Not available
Banking System, % of GDP	122.8% as of Dec. 31, 2016 114.2% as of Dec. 31, 2017
<i>Sources: Bloomberg; BMPS 2018; World Bank Global Financial Development Database; World Bank Deposit Insurance Dataset.</i>	

Key Design Decisions

1. Purpose: The Italian state recapitalized Banca Monte dei Paschi di Siena after a failed private capital raise in an effort to bring the bank into compliance with capital requirements.

In 2009, Banca Monte dei Paschi di Siena was one of four banks to participate in Italy's broad-based capital injection program aimed at improving Tier 1 capital of healthy banks (Hoyos 2021; Menasci 2018). Under the program, MPS issued EUR 1.9 billion of Tremonti bonds—perpetual, subordinated, hybrid bonds—to Italy's Ministry of Economy and Finance. In 2012, the European Banking Authority stress test identified a 1.7 billion capital shortfall in MPS's Core Tier 1 capital requirement (9%). In response, the Italian government provided an ad hoc capital injection of EUR 4.1 billion by subscribing to newly issued Monti bonds. The proceeds covered the redemption of the EUR 1.9 billion Tremonti bonds (and 2012 interest payments), the capital shortfall, and a buffer (IMF 2013). In 2014, MPS repaid the Monti bonds through an additional capital raise (Menasci 2018).

By 2015, MPS was the third-largest bank in Italy and had the highest NPL ratio of Italian banks, at 34.8% (EUR 46.9 billion NPLs) (Legorano 2016; Menasci 2018). In January 2016, the Bank of Italy designated MPS as an “other systemically important institution” (O-SII), the EU equivalent of a domestic systemically important bank (Bank of Italy 2016a; BIS 2016).⁶ In addition to the 8% minimum total capital requirement, MPS was subject to a 2.5% capital conservation buffer (ECB 2016). In July 2016, MPS was the only bank of 51 that had failed the EBA's stress test, with a -2.23% CET1 ratio in an adverse scenario (Götz, Krahnen, and Tröger 2017; Menasci 2018).

In November 2016, the ECB approved a restructuring plan for MPS, which included a EUR 27.7 billion disposal of bad debts supplemented by a EUR 5 billion private recapitalization, coordinated by the Bank of Italy, which included a voluntary conversion of existing subordinated debt into equity (BMPS 2017; EC 2017c; Menasci 2018; Miglionico 2019). The Bank of Italy attempted to coordinate a private recapitalization but on December 21, 2016, the private recapitalization fell through in the wake of political uncertainty over Italy's failed constitutional referendum and shares of MPS were suspended from trading on the Italian stock exchange (Menasci 2018; Politi, Arnold, and Sanderson 2016).

On December 23, 2016, the new Italian prime minister, Paolo Gentiloni, announced the rescue of MPS to ensure the viability of the bank “in support of the Italian economy and in a contest of full tranquility for its savers and its employees” (Treanor and Kirchgassner

⁶ The EU's O-SII framework took effect in January 2016 under Article 131(1) of the Capital Requirements Directive (CRD) (BIS 2016). EBA guidelines establish criteria that national authorities use to designate O-SIIs along four categories: size, importance to the domestic economy, complexity, and interconnectedness with the financial system. Based on this criteria, the Bank of Italy designated MPS, UniCredit, and Intesa Sanpaolo as O-SIIs (Bank of Italy 2016a; BIS 2016). Under the CRD, national authorities may implement an O-SII capital buffer between 0% and 2% of risk exposures (BIS 2016). In January 2016, the Bank of Italy set the O-SII capital buffer at 0% to avoid overlap capital buffers that the designated banks already maintain (Bank of Italy 2016a).

2016). The same day, the Italian government adopted Law Decree 237/2016, which authorized Italy's Ministry of Economy and Finance to guarantee newly issued bank liabilities and provide recapitalizations, financed by up to EUR 20 billion of state funds (Cova et al. 2017).

The law decree aimed only at banks that needed to bolster capital requirements in response to adverse stress tests, as opposed to banks likely to fail (Miglioni 2019).

On December 23, 2016, the chair and the vice-chair of the supervisory board of the ECB sent a letter to Italian authorities stating that MPS's CET1 ratio (as of September 30, 2016) was 11.5%, and, as of December 23, 2016, the bank was currently solvent and in compliance with the minimum capital requirements (as per Article 92 of Regulation [EU] No 575/2013) (EC 2016).

2. Part of a Package: Before the implementation of the recapitalization, the Italian state provided MPS with guarantees for liquidity assistance.

In addition to recapitalizations, the law decree authorized the MEF to guarantee newly issued debt securities in maturities of three months to five years (and covered bonds with maturities of less than seven years) between December 23, 2016, and June 30, 2017. Additionally, the MEF could use its discretion to provide guarantees in relation to central bank-provided financing through emergency liquidity assistance (Clifford Chance 2016).

On December 23, 2016, MPS requested liquidity assistance through state guarantees on senior liabilities. On December 29, 2016, the EC approved a maximum of EUR 15 billion in emergency liquidity assistance to MPS, conditional on Italy submitting a restructuring plan for MPS within two months of the guarantee's implementation. MPS issued two state-guaranteed bonds in January 2017 (for EUR 7 billion total with one- and three-year maturities) and one in March (for EUR 4 billion, with a three-year maturity) (EC 2017c).

The recapitalization also included a four-year restructuring plan under which MPS would dispose of a EUR 28.6 billion portfolio of bad loans as well as incorporate other cost-cutting measures (EC 2017c). See Key Design Decision No.11, Restructuring.

3. Legal Authority: The Italian government passed a new law decree, which provided for precautionary recapitalizations under the BRRD framework.

Article 107 of the Treaty on the Functioning of the European Union prohibits member states from providing financial support that confers a selective advantage and undermines competition or distorts trade in the internal market (Mesnard, Magnus, and Margerit 2017a).

However, Article 32.4 of the EU's BRRD authorizes member states to provide precautionary recapitalization to solvent institutions for the purpose of financial stability, under strict conditions (Mesnard, Magnus, and Margerit 2017a; World Bank 2017). Such aid includes capital injections that conform to the following criteria:

- Be priced such as not to confer a competitive advantage;

- Be precautionary and temporary in nature;
- Be proportionate to remedy the consequences of the serious disturbances;
- Not be used to offset the beneficiaries' current or expected losses;
- Is conditional on final approval of the EC (Mesnard, Magnus, and Margerit 2017a).

The Italian government passed Law Decree 237/2016 on December 23, 2016, which provided for a state recapitalization into MPS, after MPS failed to recapitalize by the ECB's deadline. The decree enabled the MEF to guarantee newly issued bank liabilities and recapitalize distressed banks, with parliament authorizing up to EUR 20 billion for the measures. Parliament passed the decree into law (Law 15/2017) on February 17, 2017 (Cova et al. 2017).

The recapitalization of MPS through this decree was subject to the EU's BRRD. According to the BRRD's rules, a precautionary recapitalization must include a degree of burden sharing by private debt and equity investors, be temporary in nature, and promote financial stability (Götz, Krahnen, and Tröger 2017). The Italian government's Law Decree 237/2016 restricted burden sharing (or bailing-in) to shareholders and holders of hybrid and subordinated bonds (Italian Government 2016; Miglionico 2019).

Under the decree, the MEF could inject capital into banks, until December 31, 2017, subject to the following terms:

- The bank must have a capital shortfall identified in the adverse scenario stress test;
- The bank must have attempted and failed to raise private capital;
- The measure must have received an EC State Aid decision confirming its compatibility with the internal market;
- The bank must have already implemented burden-sharing measures;
- The issuance of new shares to the state must sufficiently dilute existing shareholders (EC 2017c; Götz, Krahnen, and Tröger 2017).

On July 4, 2017, the EC approved the precautionary recapitalization of MPS for EUR 8.1 billion. The approved recapitalization consisted of a conversion of junior bondholders into equity for EUR 4.3 billion and a capital injection by the MEF of EUR 3.9 billion. However, in order to compensate losses of retail investors from mis-selling, the MEF also paid MPS an additional EUR 1.5 billion to acquire shares from those investors, bringing the total State Aid to EUR 5.4 billion and reducing the overall private-sector burden-sharing to EUR 2.9 billion (EC 2017a; Mesnard, Magnus, and Margerit 2017b).

4. Administration: The Italian treasury administered the capital injections.

The law decree provided for the MEF to subscribe to MPS's capital following a bail-in of subordinated creditors (EC 2017c). The MEF previously administered capital injections into MPS through the broad-based Tremonti bond program in 2009 and the ad hoc Monti bond program in 2013 (IMF 2013).

5. Governance: The EC mandated the appointment of an independent monitoring trustee to supervise MPS's restructuring.

As part of the EC's recapitalization approval, the EC called for MPS to appoint a monitoring trustee, independent of the government and MPS, to supervise compliance with the commitments outlined in the EC approval document during the restructuring period (2017–2021) (EC 2017c). In 2017, pursuant to this mandate, MPS hired Degroof Petercam Finance, a Belgian private bank, as the monitoring trustee (BMPS 2018).

6. Communication and Disclosure: Italy's prime minister announced the recapitalization immediately after the private recapitalization plan fell through.

On December 23, 2016, the day after MPS disclosed the failed private capital raise, the Italian prime minister announced the rescue of the bank, beginning first with ensuring availability of liquidity. The prime minister said that through the precautionary recapitalization, "Italy's third largest bank [MPS] will finally return with force to operate in support of the Italian economy and in a contest of full tranquility for its savers and its employees" (Treanor and Kirchgaessner 2016). The prime minister did not provide an estimate for the cost of the bailout, stating that it would be large enough for MPS to meet capital requirements (Treanor and Kirchgaessner 2016).

7. Treatment of Creditors and Equity Holders: As a condition to the recapitalization, all subordinated creditors of MPS were converted into shareholders, and certain retail bond holders received reimbursements.

The EUR 8.1 billion precautionary recapitalization included the mandatory conversion, as a policy of State Aid rules, of all EUR 4.5 billion subordinated bonds into new shares with voting rights (BMPS 2018; Miglionico 2019). The conversion of these subordinated bonds was part of the BRRD's burden-sharing rules and stipulated in the law decree at a pre-determined conversion rate. MPS's floating rate equity-linked subordinated hybrid issues were converted at 18% of the nominal value, Tier 1 issues at 75%, and Tier 2 at 100%. Between the conversion of subordinated bonds and the MEF's recapitalization, existing shareholders were substantially diluted, owning only 2.5% of MPS shares post-recapitalization (EC 2017c).

To compensate victims of mis-selling (retail investors owning 2008–2018 subordinated bonds), MPS acquired their converted shares in exchange for new senior MPS bonds (BMPS 2018; Miglionico 2019). The senior bonds paid a low interest rate of just 0.657%. The MEF then acquired those shares from MPS with EUR 1.5 billion in cash, increasing its stake in the bank to 68.3% (BMPS 2018). The mis-selling controversy revolved around MPS selling

subordinated debt to retail investors without appropriate disclosures of potential risk (Miglioni 2019). The law decree justified the compensation to end or prevent mis-selling litigation (EC 2017c).

8. Capital Characteristics: The capital injection took the form of a conversion of subordinated creditors into new ordinary shares and a subscription of new shares by the MEF.

In the 2017 recapitalization, the MEF subscribed to new issues of ordinary shares, in contrast to the MEF's prior recapitalizations into MPS in 2009 and 2013 (IMF 2013; IMF 2020).

In 2009, the MEF acquired newly issued Tremonti bonds from MPS and three other banks as part of Italy's broad-based capital injection program aimed at improving Tier 1 capital of healthy banks (Hoyos 2021; Menasci 2018). Tremonti bonds were perpetual, subordinated, hybrid bonds with noncumulative coupons that could only be paid back if the bank posted positive net income (IMF 2013; Menasci 2018). MPS received EUR 1.9 billion for its Tremonti bonds. In 2012, the EBA stress test identified a 1.7 billion capital shortfall in MPS's Core Tier 1 capital requirement (9%). In response, the Italian government provided an ad hoc capital injection of EUR 4.1 billion by subscribing to Monti bonds. The proceeds covered the redemption of the EUR 1.9 billion Tremonti bonds (and 2012 interest payments), the capital shortfall and a buffer. Monti bonds shared similar characteristics to the Tremonti issues, but carried a higher coupon payment, (starting at 9% and increased 50 bps each year to a maximum of 15%), and payment was not conditional on profitability. If MPS did not have a distributable net income, it would pay the coupon through new issues Monti bonds or stock (IMF 2013). In 2015, MPS repaid the Monti bonds through a new capital raise, repaying the coupon through stock issues, which gave the MEF a 4% stake in the bank (Menasci 2018).

During the 2017 recapitalization, both the EUR 4.5 billion equity conversion of junior bond holders and the EUR 3.9 billion MEF subscription were in the form of newly issued ordinary shares with voting rights (BMPS 2018; Miglioni 2019).

9. Size and Source of Funding: The capital injection and bail-in totaled EUR 8.1 billion, with the MEF providing an initial EUR 3.9 billion plus EUR 1.5 billion to compensate retail investors.

After failing the EBA's 2016 adverse scenario stress test, MPS came up with a plan, as discussed with the ECB, to raise EUR 5 billion in private capital (Bank of Italy 2016b). The EUR 5 billion private capital raise was designed to cover the sale of all of MPS's bad loans, EUR 3 billion for the sale of bad loans and EUR 2 billion to increase the coverage ratio of unlikely-to-pay loans (Bank of Italy 2016b). By December 2016, MPS only managed to raise EUR 1 billion—achieved by repurchasing subordinated securities with new shares—and ECB did not extend the deadline for MPS capital raise. Thereafter, MPS requested a precautionary recapitalization from the Italian government, to be implemented through the new decree. At the same time, the ECB raised capital requirements for MPS from EUR 5 billion to EUR 8.8 billion in light of the worsening liquidity position of MPS (Mesnard, Magnus, and Margerit 2017b). The EUR 8.8 billion capital figure accounts for EUR 6.3 billion

needed for an 8% CET1 ratio and EUR 2.5 billion for MPS to reach a total capital ratio of 11.5% (Bank of Italy 2016b).

On July 28, 2017, following the EC's approval of the MPS recapitalization, MPS received a capital injection of EUR 8.1 billion: EUR 4.3 billion from the conversion of Tier 1 and Tier 2 bonds into equity and EUR 3.9 billion provided by the MEF through share subscriptions. In total, the MEF contributed EUR 5.4 billion, with the inclusion of EUR 1.5 billion in compensation to retail investors who the government determined had been victims of mis-selling. Retail investors of MPS's 2008–2018 Upper Tier 2 notes received senior bonds in exchange for their notes converted into equity. Following the recapitalization and compensation arrangement, MEF's ownership in MPS increased from 4% to 68.2%. MPS asset sales in 2017 accounted for the difference between the initial capital requirement of EUR 8.8 billion and the recapitalization of EUR 8.1 billion (Miglioni 2019).

Pursuant to article 24 of the law decree, the MEF's recapitalization came directly from the state budget (EC 2017c).

10. Timing: The MEF recapitalized MPS eight months after the announcement of the bailout, following approval by the EC.

On July 29, 2016, the results of the EBA's stress test showed that MPS had failed the adverse scenario. On the same day, in consultation with the ECB, MPS announced a plan to sell its bad loan portfolio and raise EUR 5 billion in capital. MPS had pledged to raise private capital by the end of December 2016. On December 23, 2016, MPS announced that the capital raise had failed. The same day, the Italian government approved the law decree, providing for state recapitalizations and liquidity guarantees. Through the decree framework, MPS requested liquidity assistance and a precautionary recapitalization. The EC quickly approved up to EUR 15 billion in emergency liquidity assistance on December 29, 2016, conditional upon Italy submitting a restructuring plan for MPS within two months of the implementation of the guarantees. Italy submitted an initial draft of the restructuring plan in February 2017 before submitting a finalized restructuring plan, necessary for the recapitalization, on June 28, 2017 (EC 2017c). On June 28, 2017, Italy also notified the EC of the precautionary recapitalization plan. The EC approved the restructuring plan and recapitalization on July 4, 2017 (BMPS 2018; EC 2017c; Mesnard, Magnus, and Margerit 2017b). On August 1, 2017, MPS converted all EUR 4.5 billion subordinated bonds into new shares and on August 11, the MEF subscribed EUR 3.9 billion in new shares (BMPS 2018). MPS announced in November 2017 that it had acquired a portion of the converted shares, using MEF funds, as compensation to eligible retail investors that were victims of mis-selling (BMPS 2018).

11. Restructuring: MPS sold off a portfolio of EUR 26.1 billion of NPLs.

The recapitalization coincided with MPS's commitment to a restructuring plan wherein MPS would sell off its EUR 26.1 billion portfolio of NPLs by the end of 2021 (Miglioni 2019). The sell-off involved transferring these assets to a privately funded special purpose vehicle (SPV) with financing from the Atlante II fund (Miglioni 2019). Atlante was set up by the government of Italy and financed by large Italian banks (Treanor and Kirchaessner 2016).

The restructuring plan also included significant cost cutting measures and a shift to core domestic markets where MPS pledged to:

- Reduce the number of branches by 30% from 2,032 in 2016 to 1,432 in 2021 (EC 2017c);
- Reduce headcount by 22% from 25,566 in 2016 to 20,065 in 2021 to achieve staff expense reduction of EUR 261 million (18%);
- Reduce other administrative expenses by EUR 207 million (26%), which includes cost cutting on logistics, security, energy management, IT, and real estate;
- Divest or deleverage or its subsidiaries in Belgium and France (EC 2017c).

Under the plan, MPS would also dispose of its EUR 28.6 billion portfolio of bad loans to reduce its gross nonperforming exposures (NPE) ratio from 34.5% in 2016 to 12.9% in 2021 by:

- Selling EUR 1.2 billion in unsecured small exposures to private investors;
- Selling EUR 1.4 billion in leasing exposures to private investors;
- Transferring EUR 26.1 billion of its main NPL portfolio to an SPV for a price of 21% of its gross book value, implying a loss of EUR 3.9 billion (EC 2017c).

The SPV would be financed through a sale of EUR 3.3 billion in senior notes with a market-conform guarantee by the government as well as senior mezzanine (EUR 0.5 billion), junior mezzanine (EUR 1 billion), and junior (EUR 0.7 billion) notes underwritten by specialized investors (EC 2017c).

With respect to the bad loans, MPS achieved its commitments, disposing of the EUR 26.1 billion NPL portfolio in 2018 and achieving a EUR 13 billion reduction in NPE between 2019 and 2020, which brought the gross NPE ratio to 4% in 2021 (below the 12.9% target) (EC 2022b). MPS also managed to achieve the commitments with respect to reducing total branches and total operating costs. By 2021, however, MPS fell short of the commitments to reducing employees to 20,065 (21,244 actual) and achieving a cost-to-income ratio of 50.6% (72% actual) (EC 2017c; EC 2022b).

12. Treatment of Board and Management: MPS agreed to restrict senior management compensation to at most 10 times the average employee.

In September 2016, MPS appointed a new CEO and general manager (EC 2017c). As required under EU State Aid rules, and conditional upon the approval of the recapitalization, MPS agreed to a salary cap on senior management—10 times the average salary of MPS employees in 2016—until December 31, 2021 (EC 2017b; EC 2017c).

13. Other Conditions: MPS agreed to ban coupon payments on existing instruments for a five-year period.

On the basis of the EC approval, during the restructuring period (2017–2021), MPS would refrain from making non-legally-binding payments on capital instruments issued by the EC's State-Aid approval date (July 4, 2017). Additionally, MPS would not call or buy back such capital instruments without EC approval. MPS could, however, make coupon payments to capital instruments held by the state, provided that it would not trigger non-legally-binding payments to other capital instruments (EC 2017c).

14. Regulatory Relief: MPS maintained minimum regulatory capital ratios.

The recapitalization plan did not provide for regulatory relief. By the end of 2016, MPS's CET1 and total capital ratios stood at 8.2% and 10.4%, respectively. During the first quarter of 2017, MPS reported CET1 and total capital ratios of 6.5% and 8.9%, respectively (EC 2017c). The ECB required MPS to maintain the following capital ratios during the restructuring period. See Figure 2.

Figure 2: Capital Ratios that MPS Was Expected to Respect (Capital Requirements Plus Guidance)

		2018	2019	2020	2021
Pillar 1 CET1	CET1	4.5 %	4.5%	4.5%	4.5%
Pillar 2 CET1 Requirement (P2R)	CET1	3.0 %	3.0%	3.0%	3.0%
Capital Conservation Buffer	CET1	1.875%	2.5%	2.5%	2.5%
O-SII Buffer	CET1	0.0625%	0.125%	0.1875%	0.25%
Required CET1 ratio (%)		9.44%	10.13%	10.19%	10.25%
Pillar 1 AT1+T2	AT1+T2	3.5%	3.5%	3.5%	3.5%
Required total capital ratio		12.94%	13.63%	13.69%	13.75%
Pillar 2 Guidance (P2G)	CET1	[0-5]%	[0-5]%	[0-5]%	[0-5]%
CET1 ratio (requirement + guidance)		[10- 20]%	[10- 20]%	[10- 20]%	[10- 20]%

Source: EC 2017c.

By 2021, MPS managed to achieve CET1 of 12.5% and a total capital ratio of 16.1% (EC 2022b).

15. Exit Strategy: The MEF agreed to sell off its stake by the end of 2021; the EC approved a multiyear extension, and the Italian state still retains its stake.

As a condition for the EC's approval of the recapitalization, the MEF planned to sell its stake in MPS by December 31, 2021 (Goff 2021). In 2021, the MEF entered into negotiations to sell MPS to UniCredit. In July 2022, after the negotiations fell through and the MEF requested an extension to the sell-off deadline. In August 2022, the EC approved the extension (EC 2022a; Za and Fonte 2022). The date of the new deadline was not specified, though insiders revealed it had been pushed back several years (Za and Fonte 2022). As part of the extension, the MEF agreed that MPS would make additional divestments and job cuts to increase profitability (Za and Fonte 2022). In November 2023, the MEF sold 25% of its stake in MPS for EUR 920 million (Fonte and Za 2023).

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